Withdrawing EPF funds

An EPF fund has been designed to help employees with some financial benefits upon his or her retirement or freedom. A contributing employee can withdraw the deposited amount completely, once he/she retires from service at the age of 55 years or when he or she gets financially free and decides to quit working.

However, there are a few other options and ways that the employee can withdraw EPF funds even before retirement. Though the withdrawal is highly discouraged, one can withdraw any amount of up to 90% of the accrued amount if he or she is more than 54 years old.

On the other hand, one member is entitled to withdraw the full amount if:

1. He or she leaves India and settles abroad.
2. He/She becomes financially free and retires from the job before reaching the 55 year age limit.
3. The person retires because of mental infirmity or in case of individual or mass retrenchment.

If EPF is good – safe returns, tax exempt, with employer also contributing – then it might just sound a great idea to increase your monthly contribution to your EPF account. Yes, that is possible. This voluntary increase in your EPF investment is usually dealt as a separate investment tool, which is aptly named as Voluntary Provident Fund (VPF). Let us understand more about VPF now.